sectors (including the banking sector and equity markets) have seen extensive Western-style restructuring and improvements in corporate governance and ownership rights.[16]

To be sure, China's SOEs, as discussed in Chapter 2, remain less profitable than Chinese private-sector firms and have struggled to become global players despite receiving extraordinary financial largesse from the state.[17] Nonetheless, China's one-party state has acted functionally as the "developmental state" did earlier in Japan, South Korea, and Taiwan, though on a much larger scale, and going even one step further in its openness to foreign investment, which provided a stimulus to competition during the high-growth stage of development.[18] The China Model also encompasses other growth-inducing factors, including a technocratic meritocracy that follows rules regarding term limits and succession, a political culture inclined toward pragmatic policy adaptations, and decentralization that has favored growth by incentivizing it at the local level and spreading successful innovations.[19] By comparison, Russia, the other autocratic BRICS member, is less well integrated into the global economy outside of energy markets, and its regional leaders are incentivized to become "predatory rather than entrepreneurial."[20]

Scholars debate the best combination of sources of growth,[21] some of which are found in China, including sustained high levels of investment and openness to global investment, which fueled export-led development. According to Dale Jorgenson, a sharp acceleration in investment is now the predominant source of growth in India, as it has been in China, but growth is more likely to continue in India given its favorable demographics, particularly if New Delhi reforms its labor market, increases competition in its home economy, and improves governance.[22]

China's extraordinary thirty-year growth miracle, however, faces more than the eventual regression to the mean in economic-growth rates.[23] Some scholars hypothesize that authoritarian regimes lose whatever advantages[24] they can mobilize when they reach about 25 percent of U.S. productivity and start to experience diminishing marginal returns.[25] At this point, future advances require greater productivity growth that cannot be achieved by ever-greater levels of capital investment. In contrast to India, China has arrived at this turning point, recently requiring significantly more investment to grow more slowly than in the past. During the six years ending in 2007,